

Samsung Electro-Mechanics (009150.KS)

Earnings Review: 2Q26 OP beat; Tight supply and strong AI demand continued tailwinds for strong MLCC and ABF earnings growth; Buy

009150.KS 12m Price Target: **W2,250,000** Price: **W879,000** Upside: **156.0%**

Samsung Electro-Mechanics (SEMCO) reported 2Q26 revenue of W3.5tn and operating profit of W440bn, where OP was above vs. GSe of W418bn and Bloomberg consensus of W421bn. We believe the stronger than expected MLCC and camera module profit led to the beat. Despite the recent share price correction, we believe fundamentals for key businesses (MLCC and FC-BGA) remain solid and continue to expect tight supply and solid AI server demand to lead to strong earnings growth, with higher earnings visibility supported by global big tech companies' strong request for LTA. Reiterate Buy with an updated TP of W2.25mn.

Key takeaways

- **Favorable MLCC S/D outlook and more positive tone on pricing:** MLCC revenue showed strong growth (+19% qoq and +44% yoy) due to solid demand for AI DC (server/power/network) and auto (ADAS/xEV), and we believe OPM expanded meaningfully to high-teens% level driven by higher AI/auto mix. The company expects strong AI server MLCC demand growth (the company expects 1005 47μF product demand to increase by 7x next year) and tighter MLCC supply going forward; hence the company mentioned it will respond more actively on pricing, which we view as an incrementally more positive tone on pricing.
- **Management guides strong FC-BGA revenue growth in 2H:** We believe FC-BGA revenue showed solid growth (GSe: +9% qoq and +60% yoy) on the back of strong AI server demand and new customer addition. For 2H26, management commented it expects strong FC-BGA revenue growth as the company expects demand for AI server to remain strong on the back of customers' new product launch and plans to strategically respond to pricing to reflect tightening supply condition and higher raw material

BUY

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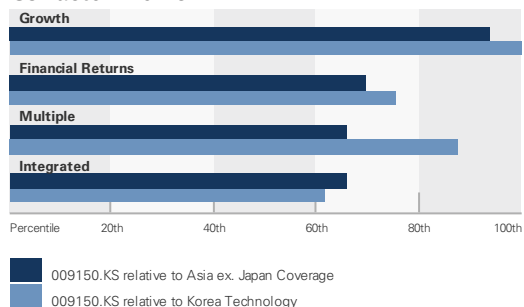
Key Data

Market cap: W66.4tr / \$45.9bn
Enterprise value: W63.7tr / \$44.0bn
3m ADTV: W2.0tr / \$1.3bn
South Korea
Korea Technology
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (W bn) New	11,314.5	14,316.0	18,133.2	23,696.0
Revenue (W bn) Old	11,314.5	13,841.7	18,081.0	23,820.5
EBITDA (W bn)	1,838.0	2,957.7	5,172.1	8,084.1
EPS (W) New	9,347	19,924	42,116	70,172
EPS (W) Old	9,347	19,853	44,830	73,583
P/E (X)	17.5	44.1	20.9	12.5
P/B (X)	1.3	4.7	3.1	2.6
Dividend yield (%)	1.4	0.6	1.3	2.1
CROCI (%)	10.5	12.9	18.3	23.5
	6/26	9/26E	12/26E	3/27E
EPS (W)	4,179	6,198	6,249	8,146

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

**Samsung Electro-Mechanics
(009150.KS)**

Rating since Jul 14, 2017

Ratios & Valuation

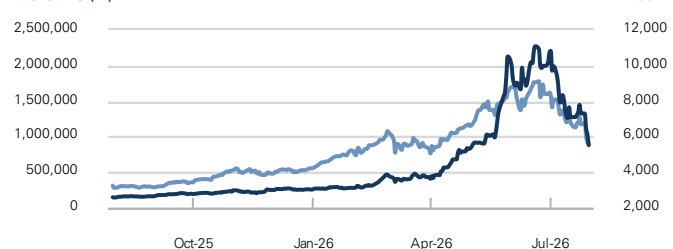
	12/25	12/26E	12/27E	12/28E
P/E (X)	17.5	44.1	20.9	12.5
P/B (X)	1.3	4.7	3.1	2.6
FCF yield (%)	2.1	(0.4)	1.2	2.5
EV/EBITDAR (X)	6.7	21.5	11.4	7.2
EV/EBITDA (excl. leases) (X)	6.7	21.8	11.5	7.2
CROCI (%)	10.5	12.9	18.3	23.5
ROE (%)	7.7	12.7	17.9	22.5
Net debt/equity (%)	(4.1)	(20.9)	(36.0)	(32.6)
Net debt/equity (excl. leases) (%)	(4.9)	(21.7)	(36.7)	(33.3)
Interest cover (X)	12.3	17.0	37.6	71.2
Days inventory outst, sales	75.2	61.4	49.4	42.8
Receivable days	51.3	48.2	42.5	40.9
Days payable outstanding	23.1	24.1	25.7	25.4
DuPont ROE (%)	7.2	10.4	14.7	20.3
Turnover (X)	0.8	0.7	0.7	0.7
Leverage (X)	1.5	1.4	1.3	1.2
Gross cash invested (ex cash) (W)	18,847.0	22,100.6	25,901.8	31,226.0
Average capital employed (W)	8,947.7	10,313.4	12,526.2	15,566.0
BVPS (W)	126,110	187,214	283,113	341,085

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	9.9	26.5	26.7	30.7
EBITDA growth	16.7	60.9	74.9	56.3
EPS growth	4.0	113.2	111.4	66.6
DPS growth	30.6	112.8	124.0	65.2
EBIT margin	8.1	13.4	21.5	27.5
EBITDA margin	16.2	20.7	28.5	34.1
Net income margin	6.3	10.5	17.5	22.4

Price Performance

009150.KS (W)



	3m	6m	12m
Absolute	5.6%	215.1%	478.7%
Rel. to the KOSPI	24.6%	194.3%	236.7%

Source: FactSet. Price as of 30 Jul 2026 close.

Income Statement (W bn)

	12/25	12/26E	12/27E	12/28E
Total revenue	11,314.5	14,316.0	18,133.2	23,696.0
Cost of goods sold	(9,037.1)	(10,626.3)	(11,785.3)	(13,725.6)
SG&A	(705.4)	(979.8)	(1,589.7)	(2,508.1)
R&D	(658.7)	(798.5)	(864.3)	(935.6)
Other operating inc./exp.)	—	—	—	—
EBITDA	1,838.0	2,957.7	5,172.1	8,084.1
Depreciation & amortization	(924.7)	(1,046.3)	(1,278.2)	(1,557.4)
EBIT	913.3	1,911.4	3,893.9	6,526.7
Net interest inc./exp.)	(3.9)	17.7	211.6	313.7
Income/(loss) from associates	0.7	(3.5)	0.0	0.0
Pre-tax profit	895.8	1,963.0	4,105.5	6,840.4
Provision for taxes	(163.6)	(441.9)	(923.7)	(1,539.1)
Minority interest	(24.9)	(16.1)	0.0	0.0
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	707.4	1,505.0	3,181.7	5,301.3
Post-tax exceptionals	(1.2)	0.2	0.0	0.0
Net inc. (post-exceptionals)	706.1	1,505.2	3,181.7	5,301.3
EPS (basic, pre-exception) (W)	9,363	19,922	42,116	70,172
EPS (diluted, pre-exception) (W)	9,363	19,922	42,116	70,172
EPS (basic, post-exception) (W)	9,347	19,924	42,116	70,172
EPS (diluted, post-exception) (W)	9,347	19,924	42,116	70,172
DPS (W)	2,350	5,000	11,200	18,500
Div. payout ratio (%)	25.1	25.1	26.6	26.4

Balance Sheet (W bn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	2,701.2	5,967.0	10,507.9	10,991.9
Accounts receivable	1,792.6	1,985.1	2,237.8	3,069.4
Inventory	2,413.0	2,403.4	2,507.8	3,043.3
Other current assets	190.9	153.5	153.5	153.5
Total current assets	7,097.6	10,508.9	15,407.0	17,258.1
Net PP&E	6,221.6	8,298.5	—	13,097.5
Net intangibles	152.4	166.0	170.8	164.2
Total investments	138.8	138.1	138.1	138.1
Other long-term assets	985.4	994.4	—	994.4
Total assets	14,595.9	20,106.0	27,289.6	31,652.4
Accounts payable	641.0	764.7	893.0	1,014.4
Short-term debt	2,028.1	2,525.2	2,325.2	2,125.2
Short-term lease liabilities	23.3	31.1	39.7	49.1
Other current liabilities	1,127.1	1,308.4	1,299.8	1,290.4
Total current liabilities	3,819.5	4,629.4	4,557.7	4,479.1
Long-term debt	188.4	308.8	228.8	188.8
Long-term lease liabilities	58.6	78.1	99.6	123.3
Other long-term liabilities	732.0	642.4	711.4	789.4
Total long-term liabilities	979.1	1,029.3	1,039.7	1,101.5
Total liabilities	4,798.6	5,658.7	5,597.4	5,580.6
Preferred shares	14.5	14.5	14.5	14.5
Total common equity	9,527.2	14,143.5	21,388.4	25,768.0
Minority interest	255.6	289.2	289.2	289.2
Total liabilities & equity	14,595.9	20,106.0	27,289.6	31,652.4
Net debt, adjusted	(470.2)	(3,118.5)	(7,939.4)	(8,663.5)

Cash Flow (W bn)

	12/25	12/26E	12/27E	12/28E
Net income	706.1	1,505.2	3,181.7	5,301.3
D&A add-back	924.7	1,046.3	1,278.2	1,557.4
Minority interest add-back	24.9	16.1	0.0	0.0
Net (inc)/dec working capital	(425.4)	(59.2)	(228.8)	(1,245.7)
Other operating cash flow	259.8	91.3	90.4	101.8
Cash flow from operations	1,490.1	2,599.7	4,321.5	5,714.8
Capital expenditures	(1,192.1)	(2,854.8)	(3,500.0)	(4,000.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(30.8)	(88.1)	(122.9)	(144.7)
Cash flow from investing	(1,222.9)	(2,942.9)	(3,622.9)	(4,144.7)
Repayment of lease liabilities	(27.1)	(33.5)	(44.4)	(56.0)
Dividends paid (common & pref)	(137.7)	(177.5)	(377.7)	(846.1)
Inc/(dec) in debt	636.4	617.4	(280.0)	(240.0)
Other financing cash flows	(50.9)	3,202.6	4,544.4	56.0
Cash flow from financing	420.7	3,609.0	3,842.3	(1,086.1)
Total cash flow	687.9	3,265.8	4,540.9	484.0
Free cash flow	270.9	(288.6)	777.2	1,658.9

Source: Company data, Goldman Sachs Research estimates.

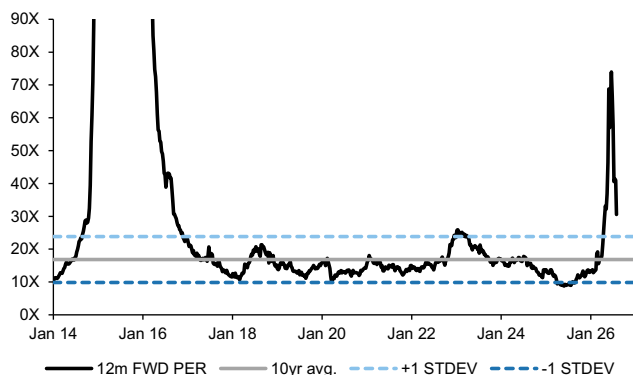
cost.

- **Multiple global CSPs and semiconductor companies seeking to sign LTA for MLCC and FC-BGA:** SEMCO said it has signed around 10 LTAs on MLCC with global CSPs and semiconductor companies and is actively responding to additional LTA requests. We believe MLCC LTAs are typically 1-yr terms (as shown in [this note](#)) with fixed pricing which increases earnings visibility and provides room for upside if supply shortage persists for multiple years. For FC-BGA, the company said it is currently in LTA discussions with most key AI and datacenter players in the form of capex sponsorship and plans to expand capacity based on these agreements. As SEMCO FC-BGA UTR is expected to reach full level in 2H26, we expect timely capacity expansion to be critical to sustain solid FC-BGA revenue growth.
- **Management reiterated strong confidence on forward earnings growth:** Management expects tighter supply, strong AI server demand, and increasing ASP trend to lead to strong earnings growth on both a qoq and yoy basis in 3Q26 and strong earnings trend to continue in 4Q26 and 2027. In-line with the management's guidance, we raise our 3Q26 OP expectation to W600bn (from W529bn) which represents 36% qoq growth and 131% yoy growth.

Tweak earnings estimates and lower TP to W2.25mn; reiterate Buy rating

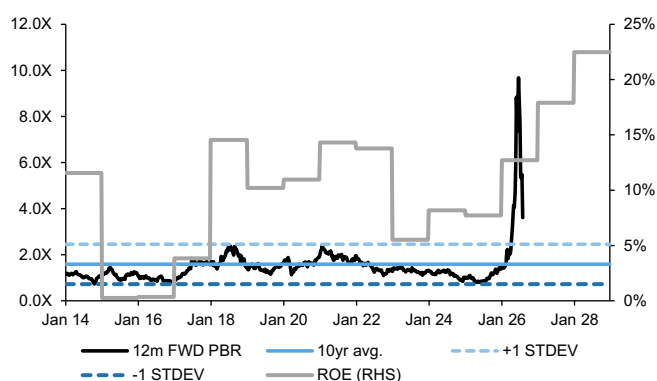
We tweak our 2026E/2027E/2028E EPS estimate from W19,853/W44,830/W73,583 to W19,924/W42,116/W70,172 mainly reflecting lower BGA and camera module margin estimates. We also refresh our target multiples (28.1x to 27.3x for Substrate Solution, 26.4x to 24.0x for Component Solution, and 11.5x to 10.0x for Module Solution) to reflect changes in peer valuation. As a result, we lower our 12m TP to W2.25mn (from W2.6mn) and reiterate Buy. Key downside risks include a stronger-than-expected industry MLCC supply increase and weaker-than-expected demand for AI server/auto/smartphones.

Exhibit 1: SEMCO shares are trading at 30.6X 12m FWD P/E
SEMCO 12m FWD P/E



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 2: SEMCO shares are trading at 3.6X 12m FWD P/B with 2026E/2027E ROEs of 13%/18%
SEMCO 12m FWD P/B vs. ROE



Source: Bloomberg, Company data, Goldman Sachs Global Investment Research

Exhibit 3: SEMCO earnings revisions

(W bn)	Revised				Previous				Changes (%)			
	2Q26	FY26E	FY27E	FY28E	2Q26E	FY26E	FY27E	FY28E	2Q26	FY26E	FY27E	FY28E
Sales	3,457	14,316	18,133	23,696	3,374	13,842	18,081	23,821	2.5%	3.4%	0.3%	-0.5%
Substrate Solution	772	3,486	4,484	5,591	786	3,272	4,283	5,684	-1.8%	6.5%	4.7%	-1.6%
Package	772	3,486	4,484	5,591	786	3,272	4,283	5,684	-1.8%	6.5%	4.7%	-1.6%
Component Solution	1,649	6,929	9,870	14,127	1,624	6,645	9,763	13,888	1.5%	4.3%	1.1%	1.7%
MLCC	1,517	6,374	8,540	11,917	1,494	6,095	8,433	11,678	1.6%	4.6%	1.3%	2.0%
Others	132	555	1,330	2,210	131	550	1,330	2,210	1.1%	0.8%	0.0%	0.0%
Module Solution	1,036	3,901	3,779	3,979	964	3,924	4,035	4,248	7.5%	-0.6%	-6.3%	-6.3%
Camera module	1,036	3,901	3,779	3,979	964	3,924	4,035	4,248	7.5%	-0.6%	-6.3%	-6.3%
Operating profit	440	1,911	3,894	6,527	418	1,798	4,046	6,734	5.3%	6.3%	-3.8%	-3.1%
Substrate Solution	104	545	1,127	1,698	125	517	1,159	1,827	-16.9%	5.5%	-2.8%	-7.1%
Package	104	545	1,127	1,698	125	517	1,159	1,827	-16.9%	5.5%	-2.8%	-7.1%
Component Solution	285	1,191	2,628	4,666	254	1,108	2,677	4,669	12.3%	7.5%	-1.8%	-0.1%
MLCC	260	1,125	2,389	4,132	245	1,070	2,398	4,069	6.3%	5.2%	-0.4%	1.6%
Others	25	66	239	534	9	38	279	600	174.3%	75.2%	-14.3%	-11.1%
Module Solution	51	175	139	163	39	173	209	238	31.5%	1.1%	-33.5%	-31.5%
Camera module	51	175	139	163	39	173	209	238	31.5%	1.1%	-33.5%	-31.5%
OP Margin (%)	12.7%	13.4%	21.5%	27.5%	12.4%	13.0%	22.4%	28.3%				
Substrate Solution	13.5%	15.6%	25.1%	30.4%	16.0%	15.8%	27.1%	32.1%				
Package	13.5%	15.6%	25.1%	30.4%	16.0%	15.8%	27.1%	32.1%				
Component Solution	17.3%	17.2%	26.6%	33.0%	15.7%	16.7%	27.4%	33.6%				
MLCC	17.2%	17.6%	28.0%	34.7%	16.4%	17.6%	28.4%	34.8%				
Others	19.0%	11.9%	18.0%	24.1%	7.0%	6.9%	21.0%	27.1%				
Module Solution	4.9%	4.5%	3.7%	4.1%	4.0%	4.4%	5.2%	5.6%				
Camera module	4.9%	4.5%	3.7%	4.1%	4.0%	4.4%	5.2%	5.6%				
Pre-tax profit	433	1,963	4,105	6,840	434	1,930	4,370	7,173	-0.2%	1.7%	-6.1%	-4.6%
Net profit	316	1,505	3,182	5,301	337	1,500	3,387	5,559	-6.2%	0.4%	-6.1%	-4.6%
EPS (W)	4,179	19,924	42,116	70,172	4,455	19,853	44,830	73,583	-6.2%	0.4%	-6.1%	-4.6%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: SEMCO earnings summary

(W bn)	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2023	2024	2025E	2026E	2027E	2028E
Revenue	3,209	3,457	3,832	3,817	4,102	4,363	4,803	4,865	8,909	10,294	11,314	14,316	18,133	23,696
Substrate Solution	725	772	931	1,059	1,073	1,113	1,139	1,159	1,717	2,035	2,302	3,486	4,484	5,591
Package	725	772	931	1,059	1,073	1,113	1,139	1,159	1,717	2,035	2,302	3,486	4,484	5,591
Component Solution	1,409	1,649	1,964	1,907	2,094	2,335	2,675	2,766	3,903	4,462	5,198	6,929	9,870	14,127
MLCC	1,282	1,517	1,812	1,763	1,844	2,030	2,315	2,351	3,499	4,057	4,705	6,374	8,540	11,917
Others	127	132	152	144	250	305	360	415	404	405	493	555	1,330	2,210
Module Solution	1,076	1,036	938	851	935	915	989	940	3,289	3,797	3,814	3,901	3,779	3,979
Camera module	1,076	1,036	938	851	935	915	989	940	3,289	3,797	3,814	3,901	3,779	3,979
Gross profit	660	844	1,099	1,086	1,296	1,481	1,765	1,806	1,736	1,959	2,277	3,690	6,348	9,970
Operating profit	281	440	600	590	762	913	1,093	1,125	678	735	913	1,911	3,894	6,527
Substrate Solution	55	104	183	203	241	279	308	298	177	158	135	545	1,127	1,698
Package	55	104	183	203	241	279	308	298	177	158	135	545	1,127	1,698
Component Solution	165	285	381	360	479	600	743	806	362	440	609	1,191	2,628	4,666
MLCC	158	260	361	345	439	548	676	725	338	417	580	1,125	2,389	4,132
Others	7	25	20	14	40	52	67	81	23	23	29	66	239	534
Module Solution	60	51	37	27	42	34	42	22	101	138	169	175	139	163
Camera module	60	51	37	27	42	34	42	22	101	138	169	175	139	163
Pre-tax profit	316	433	604	609	794	962	1,153	1,196	580	797	896	1,963	4,105	6,840
Net income	249	316	468	472	615	746	894	927	440	679	706	1,505	3,182	5,301
EPS (W)	3,298	4,179	6,198	6,249	8,146	9,869	11,830	12,270	5,599	8,989	9,347	19,924	42,116	70,172
Margins (%)														
Gross margin	21	24	29	28	32	34	37	37	19	19	20	26	35	42
Operating margin	9	13	16	15	19	21	23	23	8	7	8	13	21	28
Substrate Solution	8	14	20	19	22	25	27	26	10	8	6	16	25	30
Package	8	14	20	19	22	25	27	26	10	8	6	16	25	30
Component Solution	12	17	19	19	23	26	28	29	9	10	12	17	27	33
MLCC	12	17	20	20	24	27	29	31	10	10	12	18	28	35
Others	6	19	13	10	16	17	19	20	6	6	6	12	18	24
Module Solution	6	5	4	3	5	4	4	2	3	4	4	4	4	4
Camera module	6	5	4	3	5	4	4	2	3	4	4	4	4	4
Net margin	8	9	12	12	15	17	19	19	5	7	6	11	18	22

Source: Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Samsung Electro-Mechanics

Valuation: We are Buy rated on Samsung Electro-Mechanics with a SOTP-based (2027E-2028E EV/EBITDA driven) 12-month TP of W2,250,000.

Key downside risks: A stronger-than-expected industry MLCC supply increase and weaker-than-expected demand for AI server/auto/smartphones.

Investment Thesis - Samsung Electro-Mechanics

Samsung Electro-Mechanics (SEMCO) is a leading global electronic component supplier with the second-largest market share in multi-layer ceramic capacitor (MLCC). We expect the 1) solid MLCC demand from AI server and auto and 2) strong FC-BGA growth driven by AI customer expansion will lead to solid OP yoy growth and are Buy rated on the name.

Disclosure Appendix

Reg AC

We, Giuni Lee, Taeyong Lee and Daiki Takayama, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

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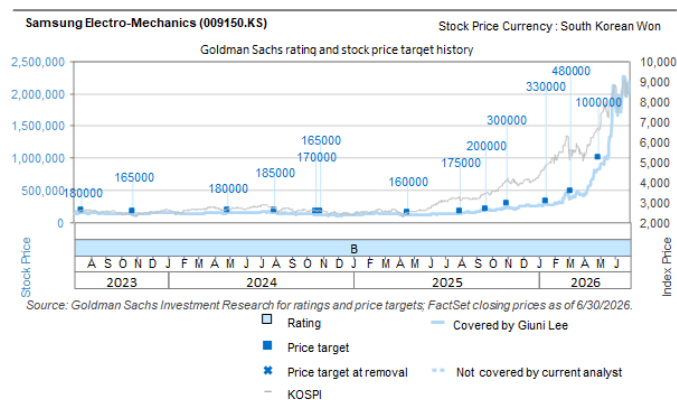
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Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution				Investment Banking Relationships		
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Price target and rating history chart(s)



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Target price history table(s)

Samsung Electro-Mechanics (009150.KS)

Date of report **Target price (W)** **Closing price (W)**

05-Jul-26	2,600,000	1,989,000
30-Apr-26	1,000,000	832,000
06-Mar-26	480,000	404,500
16-Jan-26	330,000	289,500
31-Oct-25	300,000	245,000
21-Sep-25	200,000	197,700
31-Jul-25	175,000	148,700
18-Apr-25	160,000	121,000
29-Oct-24	165,000	120,200
21-Oct-24	170,000	123,000
31-Jul-24	185,000	159,600
29-Apr-24	180,000	151,300
26-Oct-23	165,000	124,100

Price targets shown in table(s) are unadjusted for corporate actions.

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